Response™

Real Estate Investor Series

Basics Of Financing

Guide

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Introduction

Welcome to the fourth guide in the Real Estate Basics Course. This guide explores various aspects of real estate financing. Knowing where and how to get the necessary financing for your purchases is obviously a critical skill in becoming a successful investor.

As always, make sure you download the workbook for this guide and please have a pen or pencil available to take notes on today's material.

What You Should Know

Before beginning this guide, you should have completed the following action items from the *What's It Worth? Guide*.

You should have:

- Determined seller motivation on 10 properties
- Scheduled appointments to look at your top five properties
- Estimated the holding and repair costs for each of the five properties
- Calculated the Fair Market Value (FMV) and offer amount for each property
- Selected an investment strategy for each

The information in this guide continues to build on the principles learned while performing these action items; therefore, it is recommended that you complete them all before continuing.

What You Will Learn

Upon completion of this guide you should be able to:

- Describe the various ways to make money in real estate regardless of your current financial situation
- Explain the difference between getting pre-approved and pre-qualified for a loan
- Identify several key sources for real estate financing
- Identify several major lending programs
- Interview potential lenders, asking questions that will make it possible for you to select at least two that can provide the service and financing you need

Tips for Success

For our tips for success, let's turn to famous radio personality, Earl Nightingale. Mr. Nightingale defined success as "the progressive realization of a worthy goal or ideal." In real estate investing, as in most fields, success does not all happen at once. It takes time. It may seem like

your progress is painfully slow, but as long as you are making meaningful progress, you are being successful.

Some of the most successful people in the world advocate the idea of living each day successfully in order to build a successful life. If you are accomplishing small tasks every day, and continuing that week after week, then before you know it, you will be living a successful life. So then, how do we live each day successfully? Three key practices come to mind.

1. Keep your goal in mind

As much as possible during each day, keep your goal in mind. Think about why it is your goal, or what it will be like to have it accomplished. This will help keep you motivated as well as allow you to see your progress.

2. Complete daily tasks

Second, complete as many tasks in a given day as possible. This does not mean you have to work yourself ragged, or to try to get the greatest possible number of things done in the shortest amount of time. It simply means to use your time well, and give your best effort to complete what you set out to do every morning.

3. Focus on quality and efficiency

Finally, whatever you are able to do, do it well. It is not so much the sheer number of tasks you do in a day as it is the quality and efficiency of completing them. Gradually, you will find yourself being able to complete more tasks more efficiently each day.

Financing Strategies

Categories of Personal Finance

Money is typically one of the biggest concerns to a new real estate investor. Many people feel that even if they can good deals, they do not have the money to purchase them. Many of these people also do not know how to get the needed financing so they let good, money-making properties pass them by. You are not going to be one of those people.

Let's quickly identify where you are right now in regards to finances. There are four main categories of personal finance:

1. Those who cannot make a down payment and have bad credit
2. Those who can make a small or moderate down payment but have bad credit
3. Those who can make a small down payment and have good credit
4. Those who can make a good down payment and have good credit

It may surprise you, but regardless of which of these categories best defines your situation, you can make money in real estate! So the question becomes: as an investor, do you need to worry about financing? And the answer is, NO. If you find a great deal, you can find the financing to make it happen.

1. No down payment and bad credit

It is common for many of the people we introduce to the world of real estate investing to be in a situation where they have no down payment and a bad credit score. They think that real estate investing is hopeless, but the fact is that there are actually many options available.

One of the options that does not require any money at all is to find properties for other investors to purchase and collect a finder's fee for doing so. As you recall from the *What's It Worth? Guide*, this strategy is called **bird dogging.**

Another option we discussed is to find a property and **assign the contract** to another investor. To make this strategy work you need to get a property under contract at a wholesale price, then assign it, or transfer fulfillment of the contract to another investor for a fee. You then walk away from the deal with money in hand and the new investor completes the deal as per your contract. The fee can vary but it is negotiated between you and the person you assign the contract to. In most cases, it is a larger fee than you would receive if you did a bird dog deal.

A third option for investors with no down payment and bad credit is to enter into a **joint venture** with a money source. In this strategy you find a person or group of people who have money to invest, and you enter into an agreement with them that they will supply the funds necessary for the purchase and possible repair of the property. You then become responsible for getting the property fixed up, and then re-selling or renting it and splitting the profits with the money source.

You can also consider asking for **seller financing** when buying a property. As you recall from the *What's It Worth? Guide*, seller financing is when you have the seller or private investor act like the bank for you. In some cases, they will finance the whole purchase amount, or require a small down payment and carry back the rest of the financing. You could also obtain a first mortgage from a lender for a portion of the purchase price, and then have the seller create a second mortgage that, combined with the first, totals the full purchase price.

No matter which way you structure it, you as buyer will make payments to these people as agreed in your contract with them. Be aware that if you have no down payment to offer the seller, it will be much more difficult to get the seller to agree to carry financing for you. It is not impossible, but it is a higher risk for them so they may be more cautious.

As a fifth option, you could use **hard money lenders**. Hard money lenders are people or groups of people who lend money at traditionally higher rates than lending institutions and basically make their own rules when it comes to lending. Obviously, they have to abide by local and state lending guidelines, but they can be very creative in the way they lend and how they lend money. In exchange for higher rates, they typically have less stringent requirements for who they will lend to. Later in the lesson we will talk more about hard money lenders and how they work.

You can make notes on these techniques and the ones that follow in the Categories of Personal Finance section of your workbook.

2a. Small down payment ($1,000 to $3,000), but bad credit

If you have a down payment of between $1,000 and $3,000 and bad credit, you have some additional options to choose from to start your real estate investing business. These are in addition to the techniques available if you have no down payment and bad credit, as described above.

With this amount of money available one of the best strategies is to use a **lease option** to gain control of a property. As you recall from the *What's It Worth? Guide* with this strategy you lease the property with an agreement to buy it from the seller at a locked in price at a later date. This is the

option to buy. In most cases, the amount of money required for the down payment is very small. You continue to make payments to the seller until you can sell the home, fix it up and sell it, or lease option it to someone else.

If you are fixing and selling it, or if you just plan on selling the property, it is in your best interest to sell it as quickly as possible in order to keep your holding costs down. In some cases, lease options are not feasible because the seller wants the mortgage to be paid off in full immediately.

In many investments, you will not need to use any of your own money. If you do need to use a little, **sandwich lease options** are perfect. Sandwich lease options are similar to traditional lease options but they differ in that you do not actually buy the property until your tenant is ready to buy from you. You are considered the "meat" of the sandwich as you pass possession from the original owner through you to the tenant buyer.

When you lease option the property to the tenant buyer you will also ask for a small amount down. This down payment should be large enough to recapture your own down payment as well as some of your holding costs.

To maximize profits on a sandwich lease option, ideally you want it to remain in place for one to two years before your tenant exercises their option to buy. Ultimately, however, local laws will dictate the feasibility of this effort. In some states you can't leave a lease option in place that long.

Don't worry if you don't know how to actually implement these strategies yet. We'll go over them in great detail in later guides.

2b. Moderate down payment ($3,000 to $5,000), but bad credit

If you have a little more money available, say between $3,000 and $5,000 to use as a down payment, then you have a little more flexibility in your investing options.

You still are able to do lease options and sandwich lease options, but you also have the ability of working with **small groups of investors**. This helps spread financial obligations and risk around to the various members. There are two ways you can structure working with small investor groups.

The first is where everyone in the group is involved with everything. Everyone helps finance the property, everyone helps find it, fix it and sell it. This is a good option if no one has a lot of money but everyone has similar goals.

The second option is where you select a group of members who are specialized in certain areas. For example, one member may have more

money to contribute, someone else may have repair skills, and another may have marketing skills. This is a good option if you have a specific skill but not a lot of money.

A final option if you have a little more money to put down is to obtain seller financing when purchasing a property. It will be easier to get a seller to agree to carry a loan for you if you have some money to offer them for the risk they are assuming in you.

3. Small down payment and good credit

With the recent changes in the lending world, it has become increasingly difficult to get a loan with nothing down. It is not impossible, as some will say, but it is very difficult. It is a lot easier if you have a down payment available, even if it is small. However, even if you have a small down payment and good credit you may still want to use the methods of purchasing described above to leverage your money.

Loan programs that only require 3% - 5% as a down payment are discussed later in this guide. Knowing that those loans are available opens your investing options even more. Don't forget, there are plenty of creative ways to buy a property for very little, or even nothing, down, but you will need to understand how to execute them. We will teach the ins and outs of these specific techniques in the *Financing Course*.

If you have a small down payment, you are a stronger candidate for lease options and sandwich lease options. You have more negotiating room if you are seeking seller financing, and you have more to contribute to attract small groups of investors. Buying property during the foreclosure process or at a foreclosure auction requires a bit more knowledge and resources, but it can be a very viable option. These strategies will be discussed much more in depth in later lessons.

4. Good down payment and good credit

If you have good credit and a good down payment, then the options are essentially limitless. There is no reason why you will not make money investing in real estate. You can even use the methods of purchasing described in the sections above to leverage your money.

Lenders typically consider anything between 10% and 20% of the purchase price a good down payment.

When you are in this situation all of the previous strategies for investing are available in addition to a few others. In the upcoming *Financing Course*, you will learn more about these other, more creative techniques to obtain financing to buy properties. Each of these options provides unique benefits and will be discussed in much more detail in later lessons.

5. Additional strategies

If, because of your credit or down payment situation, you cannot make any of the above strategies work for you, don't despair, there are still other options to consider.

You could focus on buying less expensive investment options with personal or business lines of credit. You will learn more about these lines of credit later in the lesson.

Mobile homes are a great way to invest in real estate with very little money. They are significantly cheaper than single family homes and people always need somewhere inexpensive to live. Frequently, you can buy mobile homes from the lot owner for literally pennies on the dollar. Then, depending on the lot, you can either re-sell the home or rent it out and get some cash flow from it.

Buying mortgage notes is also an excellent way to turn a profit with little money. With this strategy, you find someone who is receiving payments on a loan, such as from seller financing, and ask them if they would be willing to sell the right to receive payments on that loan in exchange for a lump sum of cash now. If they agree, you pay them pennies on the dollar and begin receiving payments complete with interest until the loan is paid off. Many times people will be willing to sell a $10,000 loan for only a few thousand just to have the money now as opposed to having to wait for it.

Another small-dollar, high-return investment strategy is to purchase tax lien certificates. This strategy will be discussed more in depth in a future lesson, but essentially it consists of purchasing the rights to a property by paying someone's back taxes on that property. Since the city or state is currently receiving nothing on those back taxes, they will typically sell them very cheap to interested parties. If you want to pursue this option, you should check with your local county clerk to see exactly what purchasing the tax lien entitles you to in terms of the amount of the interest rate or property rights, since it varies from state to state.

Getting Pre-Approved

Now let's talk about two financing terms you need to be familiar with, especially if you are going to apply for traditional financing.

The term **pre-approved** carries some weight in the investing world. It means that you have gone through the loan process and received a specific quote on what interest rate and loan amount the lender will provide. The quote is based on financial information you provide the lender, including your debt to income level, your assets, and your credit score.

Lenders also use the term **pre-qualified** when referring to a buyer's loan status. Being pre-qualified is less desirable than being pre-approved because it is simply an estimate of what the lender thinks you are qualified to borrow for based on an evaluation of your credit score. Typically these estimates are pretty accurate, but they do not hold as much sway in investing as being pre-approved.

If you have the choice of getting pre-approved and pre-qualified, take the extra time and make the effort to get pre-approved.

Credit Scores

As you can tell, your personal credit is a very important component in the conventional loan qualifying process. This includes loans from banks, credit unions, and finance companies. Credit scores can range from 300 up to 850. Lenders like to see credit scores 750 and above. Your specific score comes from special calculations designed by the Fair Isaac Credit Organization, commonly referred to as FICO.

To determine your overall credit score, FICO uses a score from each of the three major credit bureaus in the United States. Those bureaus are: Experian, Equifax and Trans-Union. The scores from each of the bureaus are determined by information from various creditors over time. You may have noticed from your own credit report that the scores from each of these bureaus can be quite different. That is because a creditor does not have to report to all three bureaus. You might have five creditors reporting to Equifax, three to Trans-Union, and seven to Experian. Since each has a different number of creditors reporting to it, each records a different score. FICO computes an average of the three in what is often called a **tri-merge score**.

Your FICO score affects how much a lender allows you to borrow and at what interest rate. The higher your score, the better the rate you get and the more credit you are offered.

Example

Using today's national standards let's say you apply for a $150,000, 30-year fixed loan. If you have a FICO score of over 750 you will pay $344 less per month than someone with a FICO score of less than 650.

That is a difference of $4,128 a year! As you have seen in this lesson, $4,000 is enough to begin another money making investment. You can see how important your credit score is.

Money Sources

Now that you have learned about credit and how it affects financing, let's look at some of the sources from which you can obtain money to invest.

Lender Categories

There are two categories of lenders: conventional and unconventional. **Conventional lenders** have federally imposed rules and regulations they need to obey. The terms they offer are partially mandated by the Federal Reserve Bank. This regulation maintains balance in the lending world by prohibiting lenders from creating their own terms. **Unconventional lenders** have fewer restrictions on what they provide. They are still ultimately controlled by federal law, but the laws that affect them are less stringent. This means there is more flexibility in their terms but little consistency from lender to lender.

Other money source options are lines of credit and home equity loans. Both conventional and unconventional lenders can provide these in certain circumstances.

Both conventional and unconventional lenders have their place in investing, so let's take a closer look at each of them and some of the loans each can provide.

Conventional Lenders

Conventional lenders include: banks, credit unions, finance companies, mortgage bankers and mortgage brokers.

Banks

Just about everyone is familiar with what a bank is, an establishment where money is kept for saving, investing and loaning.

Credit Unions

A credit union is very similar to a bank but there are typically specific requirements you need to meet in order to become a member. They are typically non-profit and distribute their profits back to the members. Because of their membership requirements and being typically less regulated than banks, credit unions are sometimes able to process loans for lower interest rates.

Finance Companies

Finance companies borrow money and then make loans to individuals and businesses. Unlike a bank, they do not receive deposits but typically obtain their financing from a number of banks, institutions, and other money market sources. Finance companies typically enjoy high credit ratings and are thus able to have high credit ratings and thus are able to

borrow at slightly below market rates. Even so, the interest rate at which they loan money will vary with market conditions and could be higher or lower than other sources.

Mortgage Brokers

A mortgage broker is an intermediary who brings a borrower and a lender together. They might have sources of conventional or more creative funding sources for their borrowers. The broker collects appropriate paperwork from the borrower then presents it to different lenders to get the best rate possible on the loan. Mortgage brokers collect an origination fee from the borrower, and a yield spread premium from the lender as compensation for their services.

Conventional Loans

Fixed Rate Mortgage

One of the most common conventional loans is a fixed rate mortgage. This is a loan where the interest rate does not change over the life of the loan and payments are typically made monthly over a set period of time, usually thirty years.

Adjustable Rate Mortgage

You also have the option of obtaining an adjustable rate mortgage, or ARM. With this kind of loan, the interest rate is adjusted based on market trends. These types of loans carry more risk because interest rates change daily and so there is always the risk that your rate will go up.

There is space in the Money Sources section of your workbook for you to take notes on these different types of conventional loans.

Federal Housing Administration (FHA) Loans

The Federal Housing Administration, or FHA, has a number of loan programs that conventional lenders offer.

In order to offer an FHA loan the lender has to be federally qualified. This is one of the ways the government can regulate consistency in lending.

Some of the FHA programs provides loans for people with lower credit scores and require a small down payment of just 3% or less. An FHA loan has historically allowed lower income Americans to borrow money to purchase a home they may not otherwise qualify for

One of the drawbacks to FHA loans with a low down payment is that borrowers must purchase private mortgage insurance for loans on which they put less than 20% down. Private mortgage insurance offsets losses for the lender in cases where borrowers are unable to repay a loan and

lenders are unable to recover their costs after foreclosure and sale of the property.

Veteran's Affairs (VA) Loan

Another loan from conventional lenders is the one issued by the U.S. Department of Veterans' Affairs, also called a VA loan.

The VA loan was designed to offer long-term financing to American veterans or their surviving spouses, provided they do not re-marry. The basic intention of the VA program is to supply financing to eligible veterans in cases where more traditional financing is not available.

The VA loan allows veterans 100% financing without private mortgage insurance.

A VA funding fee of up to 3.3% of the loan amount may need to be paid to the Department of Veterans' Affairs and can be financed as part of the loan.

The VA may restrict how much you can borrow at any one time with its loan. This maximum can vary from time to time so you will want to check with your VA approved lender to get the current amount. In some cases, the VA also offers jumbo loans and a loan for non veterans called Vendee financing. It is commonly offered on VA foreclosures and is available to any buyer.

Sub-Prime Loans

Sub-prime lending is an option that you might consider if you cannot get other types of conventional loans.

Essentially sub-prime loans have an interest rate higher than the prime rate. The prime rate is the lowest rate on loans by most of the nation's 30 largest banks.

Sub-prime loans are available to people who have a high debt to income ratio or a credit score that is too low to qualify them for a lower rate. Be aware these loans come and go with trends in lending practices. If there is a conservative focus at the time, they are less prevalent, but in a liberal atmosphere they can be quite readily available.

Unconventional Lenders

Now let's talk briefly about unconventional lenders. There are three main types: mortgage bankers, hard money lenders and private lenders.

Mortgage Bankers

Mortgage bankers are individuals or groups of people who lend their private money, or money borrowed from another lender. They have a lot

of flexibility in their loans since some of the money they lend is their own, but they are not typically as flexible as a hard money lender.

Hard Money Lenders

Hard money lenders are individuals or small groups of people who have personal money to lend and are willing to do so with much more flexible terms than conventional lenders. However, in exchange for their flexible terms, they typically charge significantly higher interest rates- anywhere between 13 to 18%, and many require the borrower to pay loan origination or upfront points of from three to 10 points. Credit scores are not as important to hard money lenders as is the value of the property.

Private Investors

Private investors are very similar to hard money lenders in that they use their own funds to lend on property. Most of their money is invested outside of real estate in instruments such as CD's, mutual funds, stocks, IRA's, 401k's, etc. These are people who may own a large number of properties and draw on the funds from these properties to continue investing in other properties or have other investments that offer them an ongoing stream of funds to invest. Private investors may charge interest on a loan, or opt to share in the profits of the property in addition to the return of the loan amount.

You can find unconventional lenders by looking in the classified section of your newspaper under business opportunities, money to loan, or loans and finance. You can also look online by using "hard money lenders" or "money to loan" as search terms. Additionally, you can ask people at local real estate investment clubs what lenders are good to work with. These searches will yield hard money lenders not private lenders. Private lenders under the SEC definition are part of the private sector meaning they do not invest in real estate right now. It is up to you to convince them to invest in a "new" investment. Private lenders that you approach could be doctors, dentists, lawyers, family, and friends. There are specific requirements to keep in mind when working with private lenders. One of them is that you cannot market to the public for them. We will discuss working with hard money lenders, private investors, joint ventures, and other more creative financing options in more detail in the *Other Sources of Capital Guide* in the *Financing Course*.

Other Options to Consider

There are a couple of more money options that either conventional or unconventional lenders may be able to provide.

Lines of Credit

The first are simple lines of credit. Lines of credit are financial products that allow a borrower to take advances during a defined period, and up to a pre-set limit, repaying the advanced amount at the borrower's discretion until the advancement becomes due. The due date is set by the lender, and at that time, the advance and any accrued interest is due. This date is referred to as the maturity date. These credit lines can be either personal or business lines of credit. With personal lines the limit, interest rate and maturity date are typically going to be based on your credit score.

For business lines, the limit, interest rate and maturity date, are determined by the perceived risk the business shows and possibly with a business credit score called the Dunns number. The lender will ask, "Is the business potentially profitable, or is it currently profitable?""What assets are involved?" etc. In many cases, it is a way to have access to a line of credit without it being on your personal credit. Also, you can typically acquire higher lines of credit with your business than with personal lines of credit.

Home Equity Loan

A home equity loan is one in which the borrower uses the equity in their home as collateral. A home equity loan creates a lien against the borrower's house. A lien is a legal claim or attachment against property as security for payment of an obligation, in this case, paying back the money borrowed. Typically, home equity loans are referred to as second mortgages because they are backed by the value of the property just like a traditional mortgage.

Home Equity Line of Credit (HELOC)

Another option that is frequently confused with a home equity loan is a home equity line of credit or HELOC. The difference between a home equity loan and a home equity line of credit is that the line of credit acts like a credit card with a maximum credit limit, a variable interest rate and monthly payments calculated according to the balance on the credit line. Both home equity loans and lines of credit can be excellent ways of getting money for investment purposes.

Selecting a Lender

When you are getting ready to talk to lenders, there are six questions that you should always ask in order to find out how creative they can be as a lender as well as how good they are going to be to work with.

Questions to Ask Your Lender

Some lenders will say almost anything to get you in the door, but then may not be able to do what they said they could. These questions will help minimize that.

Question 1: “Does the lender have any creative financing options for investors?”

It is important to tell the lender that you are an investor right up front. Be aware, not all lenders are investor-friendly. You might get some negative feedback, but that’s okay, just move onto the next one. Also keep in mind that depending on your credit score, the word “creative” might mean different things. For example, if you have a credit score in the low 600s, it would be considered creative to get you a traditional loan with a decent interest rate for an investment property. On the other hand, if you have a credit score over 750, creative can mean no money down, or other forms of attractive financing.

Question 2: “Does the lender have any no-money-down loans for investors?”

As was discussed previously, if you are working with a conventional lender your credit score will factor in immensely here, but not as much with an unconventional lender. So for those of you whose credit scores are low, this is an important question to ask because you will learn if you are talking to a conventional lender or an unconventional one.

A creative lender will understand what you mean by this question and may have hard money lenders, private investors, lines of credit, and grant programs that they can offer to help this become a reality.

Question 3: “Do you have any 5% or 10% down loans?”

Again, your credit could be a factor here especially if you are dealing with a conventional lender.

Question 4: “Do you have any “no documentation loans”

A No Documentation, or No Doc, loan requires no employment, income, or assets to be stated on your loan application. The lender does not verify any information beyond your credit profile and the value of the property. Some No Doc lenders allow as little as a 5% down payment depending on your credit profile. This is an ideal loan option if your employment is difficult to verify. All you need is good credit, enough equity, and a good property. Another option to a straight No Doc loan is to add employment. This is frequently described as a "NINA" or No-Income-No-Asset loan. In this case, the lender verifies your employment, but not your income or assets. If you are self-employed, the business must be verified with a business license, or similar documentation. If you are

employed by a company, your employment needs to be verified, but nothing else.

Question 5: "Does the lender allow the seller to carry the down payment and pay closing costs?"

Many lenders will not allow the seller to take this responsibility simply because of the risk it represents to them as a lender. In their eyes, you are getting into a property with no vested interest. You have put no money into it, nor will you until the first payment is due. So it seems so much easier in their eyes for you to walk away having paid nothing. But it can be a great option for you who have very little money, but have a motivated seller and a good property.

Question 6: "Will you lend based on the purchase price or the After Repair Value?"

Most times lenders, both conventional and unconventional, lend according to the current appraisal value. Granted, your actual loan amount might be less than the appraisal according to the agreed purchase price, but few will lend for more than the appraisal. That is why it is important to ask about the after repair value. Some lenders can loan higher than the current appraisal if they know your repairs will add significant value to the property. Commonly, these lenders lend money in outside the box deals. Essentially this is their niche in the lender market.

One thing you want to keep in mind anytime you are talking to a lender is to always be up front with them. Do not try to trick them into giving you a loan that either you can't pay for or you do not qualify for. It only hurts you. Instead, lay all your cards on the table, so to speak, and let your loan professional see what they can do. If you have asked the right questions and made a good choice in your lender, then they can get the deal done the best way for you. The time you took to find and qualify them will definitely more than pay for itself.

Your workbook contains these questions, along with a Lender Contract Form and a Lender Interview Sheet that you can use to help as you contact and interview potential lenders. You should contact at least 10 to give yourself the best chance to find a couple who will be able to provide the service and the financing that you need as an investor.

Assessment

Here are some questions to help you test your knowledge of the information in this guide. Just answer the questions to the best of your ability. If you find you are having difficulty, please refer back to relevant part of the guide.

1. Match each of the personal finance situations to the investment strategy that works well with that situation.

Personal Finance Situations

a) No down payment/bad credit
b) Down payment/bad credit
c) Small down payment/good credit
d) Down payment/good credit

Investment Strategies

1) Lease options
2) Housing and Urban Development (HUD) properties
3) Bird dogging
4) Owner purchase

2. Finding a person or group of people to provide money for an investment while you provide labor and marketing for a property is called a/an _____

3. The main difference between a lease option and a sandwich lease option is:

a) In a sandwich lease option you do not buy the property until after the tenant buyer exercises their option to buy
b) In a sandwich lease option you simply arrange the lease and purchase for an end buyer but never purchase the property yourself
c) In a sandwich lease option you take multiple money sources to lease a property to eventually purchase for yourself
d) In a sandwich lease option a real estate agent negotiates for you with the agent acting as the middle man between you and the seller/landlord

4. What percentage down payment do lenders typically like to see?

a) 5-10%
b) 10-15%
c) 10-20%
d) 20-30%

5. Which of the following was NOT discussed as a less expensive investing option?

a) Mobile homes
b) Tax lien certificates
c) Mortgage notes
d) Bank-owned properties

6. Which of the following terms means that you have received a specific quote on the interest rate and loan amount the lender will provide?

a) Pre-qualified
b) Bank approved
c) Pre-approved
d) None of the above

7. Which of the following is NOT one of the major credit bureaus in the United States?
a) Experian
b) Trans Union
c) Equifax
d) Fair Isaac Credit Organization (FICO)
e) All four are major credit bureaus

8. Which of the following are could offer conventional loans? Select all that apply.

a) Banks
b) Hard money lenders
c) Credit unions
d) Mortgage bankers
e) Mortgage brokers
f) Private investors
g) Finance companies

9. Which of the following loan types has a fixed interest rate, requires a small down payment and typically requires private mortgage insurance (PMI)?

a) A fixed rate loan
b) A Veteran's Affairs (VA) loan
c) A Federal Housing Administration (FHA) loan
d) An adjustable rate mortgage (ARM)

10. What is the difference between a home equity loan and a home equity line of credit?

a) A home equity line of credit acts like a credit card where a home equity loan is a fixed amount
b) A home equity line of credit has a variable interest rate where a home equity loan has a fixed rate
c) Both a and b

d) None of the above

11. Which of the following are on the list of the six questions recommended to ask a lender? Select all correct responses.

    a) How much will this loan cost me?
    b) Will you allow the seller to carry the down payment and pay closing costs?
    c) Do you have creative financing for investors?
    d) What is my credit score?
    e) Will you lend on the purchase amount or the after repair value (ARV)?
    f) Are you a conventional lender?
    g) Can I use some of my loan for repairs?

Assessment Answers

1. a-3, b-1, c-2, d-4; 2. joint venture; 3. a; 4. c; 5. d; 6. a; 7. d; 8. a, c, e, g; 9. c; 10. c; 11. b, c, e

Action Items

Congratulations! You have completed the *Basics of Financing Guide*. Now that you know something about the world of lending and loans, you need to go out and put your knowledge to work for you. The actions items listed here are designed to keep you moving forward in your investing business. The activities and resources in your workbook will also help you complete these action items.

- Identify three strategies for making money that work for your personal financial situation
- Locate and contact at least 10 lenders.
- Ask the lenders the questions listed in this guide and in the Selecting a Lender activity in your workbook.
- Fill out the Lender Interview Sheet in your workbook and then identify at least two lenders that can provide the service and financing that you need.

Each of these action items builds on topics learned in previous guides, and the following guides will build upon these. As you complete these action items you will be progressing toward accomplishing your goal. Remember the harder you work the faster it will happen, and always remember that regardless of your credit or financial situation you can be successful in real estate.

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